

BREI VA Risk Disclosure Statement

1. This notice provides a description of risks that are associated with investing and trading Virtual Assets (“**Notice**”)
2. Investment in BREI Tokens involves a risk of loss of part or all of the invested capital. Recoveries are not guaranteed. In the event of insolvency of Tokinvest DMCC, the asset owner, or any relevant counterparty, enforcement of security interests, contractual rights, or asset-related claims may be delayed, contested, or result in partial or no recovery. The BREI Tokens provide investors with specific rights and recover mechanisms following such an insolvency as set out in the whitepaper.
Tokenholders may receive less than their original investment, or nothing at all, depending on legal, market, and insolvency outcomes.
3. At present :
 - a. Tokinvest performs ongoing conflicts-of-interest assessments reflecting its multiple regulated roles, including issuer, broker/platform operator, and secondary market operator. Identified conflicts are managed through governance, operational separation, disclosure, and compliance oversight, as described in this Risk Disclosure Statement.; and
 - b. There are no past convictions or prosecutions of any member of the Tokinvest senior management or board, whether before the courts of the UAE or the courts of another jurisdiction.
4. Capitalised terms used in this Notice have the meanings given to them in Tokinvest’s Brokerage Terms of Business available on www.tokinvest.capital (the “Site”), as amended from time to time.
5. All users and clients of our Brokerage Services are advised to carefully study the risks described in this Notice.
6. Tokinvest Virtual Assets which you custody with us are under the control of Tokinvest. Tokinvest is not a VARA regulated Custody service provider. Tokinvest will provide Virtual Asset Custody only as an incidental activity to its Brokerage Services leveraging a third-party VARA regulated Custodian and/or third-party custody technology solutions providers. As further described in paragraphs 64 a-c of these Terms, Hex Trust will act as custodian for all Virtual Assets except for Hedera based tokens;
7. Tokinvest does not provide financial, legal, tax, or investment advice. Nothing in this Notice constitutes a recommendation or personalised advice. Investors are responsible for conducting their own independent assessment before making any investment decision.
8. Tokinvest does not hold or maintain funds or Virtual Assets or provide clearing services for other VASPs providing Broker-Dealer Services.
9. Tokinvest does not introduce our clients to any other VASPs.

10. This Notice does not set out all risks arising in relation to Virtual Assets and should not be relied upon as doing so. The risks applicable to any particular investment or Virtual Asset will depend on your particular circumstances and the terms of the relevant transaction. You should not deal in any investment unless you understand the nature of the product you are dealing in (or contract you are entering into), the extent of your exposure to risk, and unless you are satisfied that the product is appropriate for you.
 11. Types of risks that may have an impact on your investment include liquidity risk, market risk, settlement risk, currency risk, operational risk, business risk, tax risk, regulatory risk, legal risk, barriers to or restrictions on divestment, risks inherent to OTC trading and/or risks as a result of you assuming additional obligations in relation to the investment.
 12. Tokinvest Insolvency:
In the event of Tokinvest DMCC's insolvency, the reference asset is held in a segregated company and does not form part of Tokinvest's own assets. Tokinvest maintains a Wind-Down Plan approved as part of its licensing process. In addition, tokenholders benefit from contractual third-party rights under the Asset Rights Agreement, allowing enforcement of their economic entitlements directly against the asset owner, subject to applicable law. The BREI Tokens provide investors with specific rights and recover mechanisms following such an insolvency as set out in the whitepaper however Tokenholders may receive less than their original investment, or nothing at all, depending on legal, market, and insolvency outcomes.
 13. Asset Owner Insolvency:
Legal title to the underlying property is held by the asset owner through a dedicated SPV. Tokinvest holds a first-ranking legal charge over the property and an assignment of all related income and proceeds, which is registered with the UK Land Registry. In the event of asset owner insolvency, enforcement of these security rights may involve legal proceedings, timing delays, and recovery risk. While the security structure is intended to protect investor economic interests, recoveries are not guaranteed and may be affected by insolvency costs and market conditions.
- Conflicts of Interest**
- Tokinvest performs formal conflicts-of-interest assessments reflecting its roles as issuer, broker/platform operator, and secondary market operator. Identified conflicts are managed through governance controls, operational separation, disclosure, and compliance oversight.
14. Principal Trading Conflicts:
Tokinvest may, in limited circumstances, act as principal solely to facilitate settlement where two client orders match on identical price and quantity. Such activity is risk-neutral, operational in nature, and subject to uniform execution rules and compliance review. Tokinvest does not engage in proprietary trading, market making, or directional trading.
 15. Fee Incentive Conflicts:
Tokinvest's fees are fixed, disclosed, and applied uniformly. Fees are not linked to token price performance, sale timing, investor profitability, or Tokinvest acting as principal. Employee remuneration is not tied to secondary market volumes or price outcomes.

16. Buy-Back and Sale Timing Conflicts:

Any discretionary buy-back or sale decision is subject to objective triggers, internal approval independent of commercial functions, and compliance oversight. Tokinvest does not use buy-backs or sale timing to influence prices or generate trading profits, and all actions are documented and reviewable.

17. We have no obligation to inform you about tax or legal consequences of Virtual Asset Trading.

18. You are advised to read and understand the risks involved in trading and custody of Virtual Assets.

19. Anyone who uses our Site or the Brokerage Services acknowledges and agrees that Tokinvest shall not be responsible for or otherwise liable for any direct or indirect loss or damage of any kind whatsoever arising directly or indirectly from the occurrence in full or in part of any or all of the following risk events. Notwithstanding the foregoing, Tokinvest does exclude any form of actual or potential civil liability in respect of providing inaccurate or misleading information.

20. You will also need to read the whitepaper, and any other offering memorandum associated with Virtual Asset issuances.

21. While most of the Virtual Assets which Tokinvest will broker are expected to be real world asset backed Virtual Assets, there is a risk of volatility and unpredictability of the price of Virtual Assets relative to fiat currencies.

22. Trading in Virtual Assets may be susceptible to irrational market behaviour and may carry an elevated risk of financial crime, including fraud, market manipulation, or illicit activity.

23. The nature of Virtual Assets may lead to an increased risk of cyber-attack and there may be limitations around mechanisms for the recovery of lost or stolen Virtual Assets.

24. Virtual Asset balances are generally maintained as an address on the blockchain and are accessed through private keys, which may be held by a market participant or a custodian. Although Virtual Asset transactions are not typically private and are publicly available on a blockchain or distributed ledger, the public address does not identify the controller, owner or holder of the private key. Unlike bank and brokerage accounts, Virtual Asset exchanges and custodians that hold Virtual Assets do not always identify the owner. The opaque underlying or spot market may pose asset verification challenges for market participants, regulators and auditors and potentially give rise to an increased risk of manipulation and fraud.

25. You are hereby notified, accept and confirm your understanding that Virtual Assets:

- a. may lose their value in part or in full;
- b. may not always be transferable;
- c. may not be liquid; and
- d. may be subject to fraud, manipulation, theft, including through hacks and other targeted schemes, and loss.

There is no assurance that you will be able to sell Virtual Assets.

26. The regulatory treatment of Virtual Assets differs across jurisdictions and may evolve. Regulatory actions by VARA or by non-VARA authorities may restrict cross-border transfers, trading on certain platforms, or access by investors in particular jurisdictions. Such changes may adversely affect liquidity, market value, or the ability to hold or transfer Tokens.
27. Trading on an online platform exposes the participants to internet related risks and the internet may be unreliable or unavailable at any given time. Interruption, delay, corruption or loss of data or loss of confidentiality in the transmission of data, may occur when transmitting data via the internet and trading instructions may be delayed, intercepted, altered, or lost during transmission, due to hardware, software or network connectivity issues or any other issues arising from service provided by third party vendors.
28. Virtual Assets are a new and evolving asset class and are part of a new and rapidly evolving industry that is subject to a degree of uncertainty. The investment characteristics of particular Virtual Assets may differ significantly.
29. The legal status of certain Virtual Assets may be uncertain or vary from one country to the next. You have a responsibility to comply with the relevant Applicable Laws.
30. Transfer from or storage of Virtual Assets in a digital wallet exposes the Virtual Asset to the risk of loss due to security breaches arising from hacking, phishing, social engineering, smurfing, malware, spoofing and such other means and it may not be possible to recover lost or stolen Virtual Assets.
31. It may prove difficult to determine the value of a given Virtual Assets from time to time, due to price volatility and the fragmentation of the markets and the creation of new and innovative products and legal structures made possible by the use of tokenisation technology. In addition, dispersed liquidity may pose challenges for market participants trying to exit a position, particularly during periods of stress.
32. Virtual Assets and the underlying DLT technology typically involve cryptographic and other algorithmic protocols that regulate the issuance and transfer of Virtual Assets. This is a new and rapidly evolving industry that is subject to a variety of factors that are difficult to evaluate. As Virtual Asset networks continue to develop and grow, certain technical issues might be uncovered, and the troubleshooting and resolution of such issues will likely require the attention and efforts of decentralised development communities. The evolving nature of DLT means that a malicious actor may be able to misappropriate your Virtual Assets.
33. In addition to the provisions of this disclosure statement, we may make additional disclosures from time to time or amend this statement in accordance with the requirements set out Rule I.B of the VARA Broker-Dealer Services Rulebook, Market Conduct Rulebook and Compliance and Risk Management Rulebook.
34. Tokinvest uses, or will use, third-party providers for fiat services:
 - a. Zand Bank – UAE authorised bank for Tokinvest DMCC operational accounts and Client Money Accounts.
 - b. Wio Bank for Tokinvest operational accounts.
 - c. Nomupay as a payment services provider.

35. In addition to the risks associated with trading and investing in Virtual Assets, the below risks are specifically associated with investment in Built Real Estate;

- a. Rental Returns Risk: The yield in the rental market is determined by supply and demand and other factors which means that rents may increase or decrease, and which could impact the predicted yield of the investment over time.
- b. Vacant Property Risk; Whilst Birmingham is a location with stable rental demand, future changes in economic circumstances may mean that the property is untenanted for periods which would impact profitability of the investment over the period of ownership.
- c. General Economic Risk: Changes in the local and international economic environment may affect the demand for rental properties and the ability for tenants to pay rent. They may also negatively affect the resale value of the property.
- d. Potential Regulatory Changes: Unforeseen changes to laws or regulations such as rent controls, tenancy protection or eviction rules could impact rental income, property values and management costs.
- e. Property Maintenance Costs: Unforeseen damages to the property from tenants, construction quality, environmental issues or other factors could incur unexpectedly large costs which would impact overall investment returns.
- f. Insurance Risks: Whilst Tokinvest will make every reasonable effort to maintain adequate and comprehensive insurance cover, certain risks may not be covered such as natural disasters or terrorism. Claims for losses may not result in full payouts and any claims could result in increased future premium costs which may affect profits.
- g. Tenancy Risks: Tokinvest and its agents will undertake all reasonable due diligence processes to ensure that only suitable tenants are accepted, however there are risks that;
 - i. tenants violate lease terms and conditions,
 - ii. tenants fail to pay rent in a timely manner, or to pay at all,
 - iii. tenants damage the property

Any or all of the above may lead to financial losses, including from eviction or other legal processes which may prove lengthy and/or costly. There is also a risk of reputational damage if such a situation arises.

- h. Property Management Risks: The Issuer will endeavour to select and work with established property management companies with excellent reputations, however there is a risk that breakdowns in operational processes such as maintenance, tenant support, rent collection and others could lead to tenant dissatisfaction, legal issues or financial losses. Tokinvest or the property management company may rely on third-party contractors for some services and there is a risk that these third-party contractors do not fulfil their obligations to the standard required.

- i. **Short-Term Rental Risks:** If the property is rented on a short-term basis there may be additional risks related to high tenant turnover, vacant periods and changes in local regulations around short-term rentals including additional taxes.
- j. **Resale Price Risk:** While the intention is for this to be a long term Virtual Asset, Tokinvest, reserves the right, in its sole discretion, to sell the underlying property where it reasonably determines that circumstances justify an early sale, including but not limited to: material changes in market conditions, regulatory developments, unforeseen risks to the property or the project, or opportunities to realize enhanced value for token holders. There is a risk that at this time market conditions are less favourable and the property may have fallen in price or be difficult to sell as quickly as desired. This could lead to a negative equity situation which would result in the tokens having a redemption value below their issue price.
- k. **Environmental Risks:** All properties are at risk from unforeseen natural disasters such as flooding, fires and other catastrophic events. Insurance coverage may not fully compensate for damages, cost of repairs and loss of rental income from such an event.
- l. **Foreign Exchange Risk:** The underlying Property is denominated in GBP. BREI Tokens are issued in AED and may be reported or distributed in a permitted distribution currency supported by Tokinvest's regulated infrastructure, which may include fiat currency or a VARA-permitted Virtual Asset.
As a result:
 - FX movements between GBP and the applicable distribution currency may affect the value of rental income and sale proceeds when converted.
 - FX movements between issuance and sale may increase or reduce the amount ultimately distributed to tokenholders.
 - Secondary-market pricing may reflect currency expectations and exchange rate volatility.

Where conversion from GBP is required prior to distribution, conversion will be effected using the relevant GBP/[distribution currency] reference rate captured at 12:00 GMT on the applicable conversion date. The reference rate is sourced from Tokinvest's designated pricing data provider, Fixer.io (APILayer).

Currency markets may be volatile and unpredictable. Macroeconomic, geopolitical, or regulatory developments may materially affect exchange rates.

Tokenholders bear the full impact of foreign exchange movements.

36. Distributed Ledger Technology and Smart Contract Risk

BREI Tokens and associated rights are issued, recorded, transferred, and administered using distributed ledger technology ('DLT') and smart contracts. Such technology is subject to inherent risks, including vulnerabilities, coding errors, logic flaws, security weaknesses, or unforeseen interactions that may result in malfunction, loss of functionality, unintended execution, or the loss, freezing, or misallocation of tokens or associated Client Assets. Smart contracts may be subject to upgrades, patches, migrations, or other modifications in order to address security issues, regulatory requirements, or operational needs; such changes may alter BREI Token functionality, rights, or user experience and may require investor action or result in temporary or permanent disruption. In certain circumstances, administrative controls, privileged access, or override mechanisms may exist to enable Tokinvest or

authorised parties to intervene in the operation of smart contracts or the underlying ledger, including to comply with legal or regulatory obligations, respond to incidents, or protect Client Assets; the exercise of such powers may result in delays, restrictions, reversals, or other limitations on investor transactions. Investors acknowledge that reliance on distributed ledger technology and smart contracts involves technical and governance risks that may adversely affect access to, control over, or value of BREI Tokens, and that such risks may materialise notwithstanding the implementation of security audits, controls, or safeguards.

37. Secondary Market Liquidity and Price Formation Risk

Any secondary market in which BREI Tokens may be admitted to trading or otherwise made available is not guaranteed to be liquid, continuous, or orderly. There may be limited or no active buyers or sellers at any time, and investors may be unable to sell BREI Tokens, or may only be able to do so at prices significantly below the price paid or any indicative net asset value ('NAV'). Where multiple trading venues or bilateral arrangements exist, liquidity may be fragmented, resulting in inconsistent pricing, reduced depth, and impaired price discovery. Any Indicative NAV is provided for informational purposes only, may be based on assumptions, estimates, or models, and does not represent a binding, executable, or guaranteed price at which BREI Tokens can be bought or sold. Market prices may deviate materially and persistently from any Indicative NAV due to supply and demand dynamics, market conditions, regulatory constraints, or other factors beyond Tokinvest's control. Investors acknowledge that the ability to realise value from BREI Tokens is subject to these risks and that access to Client Assets may not translate into timely or favourable liquidity.

38. Platform Suspension Risk

Tokinvest maintains systems and controls designed to safeguard Client Assets in accordance with applicable regulatory requirements. Notwithstanding such controls, Tokinvest may be required, or may determine it is necessary, to suspend access to the Platform, in whole or in part, including for operational, security, risk-management, legal, or regulatory reasons. During any period of suspension, Users may be temporarily unable to access their accounts, submit instructions, or initiate transactions relating to Client Assets, including deposits, withdrawals, transfers, or conversions. Such suspension may occur to protect Client Assets, maintain system integrity, comply with regulatory obligations, or respond to actual or suspected incidents affecting the Platform.

Tokinvest does not guarantee uninterrupted access to the Platform or that any suspension will be resolved within a particular timeframe. Users acknowledge that Platform suspension may result in delays, missed opportunities, or other adverse consequences, and that access to Client Assets may be restricted during such periods in accordance with applicable law and regulatory direction.

39. Regulatory Intervention Risk

The Platform and the handling of Client Assets are subject to ongoing regulatory oversight. Regulatory authorities may issue directions, impose conditions, or require actions that affect the safeguarding, access, movement, or treatment of Client Assets, including the imposition of restrictions, enhanced controls, reporting obligations, or suspension of certain activities.

Regulatory intervention may require Tokinvest to delay, restrict, or refuse the execution of User instructions relating to Client Assets, including withdrawals or transfers, where such action is necessary to comply with applicable laws, regulatory requirements, or supervisory directions.

Users acknowledge that regulatory intervention may occur without prior notice and may materially affect their ability to access or deal with Client Assets. Tokinvest shall act in accordance with regulatory requirements and directions, even where such actions conflict with User expectations or instructions.

40. VARA Licence Suspension or Revocation Risk

Tokinvest's authority to provide services involving the custody, safeguarding, or administration of Client Assets is contingent upon the maintenance of a valid regulatory licence. There is a risk that such licence may be suspended, restricted, or revoked as a result of regulatory action, supervisory findings, enforcement measures, or changes in applicable regulatory requirements.

In the event of licence suspension, restriction, or revocation, Tokinvest may be required to immediately cease certain or all regulated activities and to implement measures directed by the regulator, including restrictions on Client Asset movements, the orderly wind-down of services, or the transfer of Client Assets to another regulated entity.

Users acknowledge that licence-related regulatory action may materially affect access to Client Assets and that withdrawals, transfers, or other dealings may be delayed or restricted in accordance with regulatory requirements. There is no assurance that Client Assets can be returned or transferred within a specific timeframe, particularly where regulatory approval or oversight is required.

41. Geo-Restriction Risk

The availability of Platform services, including the safeguarding and administration of Client Assets, is subject to jurisdictional restrictions arising from applicable laws, regulations, sanctions regimes, or regulatory guidance. Tokinvest may restrict, suspend, or terminate access to the Platform or specific services based on a User's location, residency, nationality, or place of incorporation.

Where geo-restrictions apply, Tokinvest may be required to prevent further onboarding, restrict transactions, or limit access to Client Assets, including the suspension of deposits, withdrawals, or transfers. Such measures may be implemented immediately and without prior notice where required to comply with legal or regulatory obligations.

Users acknowledge that the imposition of geo-restrictions may result in limited or delayed access to Client Assets and that continued use of the Platform is subject to ongoing eligibility under applicable laws and regulatory requirements.